IB Economics - Topic 3.6: Teacher and AI Grading Guide

Demand Management: Fiscal Policy | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 39 questions cover SL/HL content and 11 are labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Revenue and expenditure types, expansionary and contractionary demand management, effectiveness; marked HL-only multiplier, crowding-out and automatic-stabiliser content.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.6.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Budget structure: 8 pairs

Expansionary: 8 pairs

Contractionary: 6 pairs

Policy goals: 7 pairs

Effectiveness: 10 pairs

HL multiplier: 5 pairs

HL crowding: 3 pairs

HL stabilizers: 2 pairs

HL synthesis: 1 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain the difference between direct and indirect taxes as sources of government revenue.

(b) [15] Using real-world examples, discuss whether a government should rely more heavily on one type of tax.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Direct taxes apply to income or wealth; indirect taxes to spending, with different equity and revenue effects.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Direct taxes apply to income or wealth; indirect taxes to spending, with different equity and revenue effects.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain how revenue from a state-owned enterprise differs from income-tax revenue.

(b) [15] Using real-world examples, evaluate whether public enterprises provide a reliable source of budget revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Enterprise receipts depend on operations and profits; tax receipts depend on taxable activity and rates.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Enterprise receipts depend on operations and profits; tax receipts depend on taxable activity and rates.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain why selling a government asset differs from collecting recurring tax revenue.

(b) [15] Using real-world examples, discuss whether asset sales are a sustainable way to finance current expenditure.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Asset disposal is a one-off inflow and removes future ownership returns.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Asset disposal is a one-off inflow and removes future ownership returns.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain the difference between current government expenditure and capital expenditure.

(b) [15] Using real-world examples, evaluate whether capital spending is always more valuable for growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Current spending funds ongoing services; capital spending purchases assets with potential future benefits.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Current spending funds ongoing services; capital spending purchases assets with potential future benefits.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain why transfer payments differ from government purchases of goods and services.

(b) [15] Using real-world examples, discuss whether transfers can stimulate aggregate demand despite being excluded from G in GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Transfers redistribute income and can induce consumption; G covers current purchases.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Transfers redistribute income and can induce consumption; G covers current purchases.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain how spending on infrastructure can affect both present demand and future capacity.

(b) [15] Using real-world examples, evaluate whether every infrastructure project raises long-run growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Construction raises G now; productive infrastructure may expand capacity if useful and maintained.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Construction raises G now; productive infrastructure may expand capacity if useful and maintained.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain how a budget deficit differs from a budget surplus.

(b) [15] Using real-world examples, discuss whether a government should always aim for a balanced budget.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Deficit means spending exceeds revenue over a period; countercyclical policy and debt sustainability matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Deficit means spending exceeds revenue over a period; countercyclical policy and debt sustainability matter.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.6: Budget structure

(a) [10] Explain why an increase in tax revenue need not mean that tax rates have risen.

(b) [15] Using real-world examples, evaluate whether higher tax receipts alone show fiscal tightening.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal policy uses government revenue and expenditure; distinguish direct/indirect taxes, current/capital purchases and transfers.

Required reasoning. Growth, compliance or a broader tax base can raise revenue at unchanged rates.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes budget structure from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Growth, compliance or a broader tax base can raise revenue at unchanged rates.

Counterargument and conditions. A transfer may later stimulate consumption but is not a direct purchase included in G.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Using an AD/AS diagram, explain how higher government purchases can close a recessionary gap.

(b) [15] Using real-world examples, evaluate whether increased public spending always restores full employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. G raises AD; impact depends on size, timing, leakages and AS spare capacity.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. G raises AD; impact depends on size, timing, leakages and AS spare capacity.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Using an AD/AS diagram, explain how a cut in income tax can affect output in a recession.

(b) [15] Using real-world examples, discuss whether tax cuts are as effective as direct spending increases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. Higher disposable income can raise C; saving and imports dilute the initial effect.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher disposable income can raise C; saving and imports dilute the initial effect.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Explain why the response to a transfer payment may differ from the response to a public purchase.

(b) [15] Using real-world examples, evaluate whether transfers are the most effective recession stimulus.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. A purchase adds to AD directly while a transfer affects C through household decisions.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A purchase adds to AD directly while a transfer affects C through household decisions.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Using an AD/AS diagram, explain why fiscal stimulus can raise prices as well as real output.

(b) [15] Using real-world examples, discuss whether recessionary spending is necessarily inflationary.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. AD right raises output and potentially prices; effect depends on AS slope and bottlenecks.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right raises output and potentially prices; effect depends on AS slope and bottlenecks.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Explain why a government may increase its budget deficit during a recession.

(b) [15] Using real-world examples, evaluate whether a larger recession deficit necessarily harms future growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. Stimulus and lower tax receipts enlarge deficit; avoided prolonged slump may support future tax base.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Stimulus and lower tax receipts enlarge deficit; avoided prolonged slump may support future tax base.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Explain how targeted public spending can support a depressed region.

(b) [15] Using real-world examples, discuss whether geographic targeting is preferable to a general tax cut.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. Direct demand and jobs in affected area can help, with administrative and displacement limits.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Direct demand and jobs in affected area can help, with administrative and displacement limits.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Explain why fiscal expansion may be especially effective when private investment is weak.

(b) [15] Using real-world examples, evaluate whether deep recessions justify higher public borrowing.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. Spare resources and weak private demand reduce displacement, subject to implementation and debt costs.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spare resources and weak private demand reduce displacement, subject to implementation and debt costs.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.6: Expansionary

(a) [10] Explain how a spending increase can affect household income through the circular flow.

(b) [15] Using real-world examples, discuss whether each dollar spent by government produces one dollar of additional output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Higher G or lower tax can raise AD to address a recessionary gap, with output response depending on spare capacity and leakages.

Required reasoning. Initial spending creates income and induced consumption, offset by saving, taxes, imports and capacity.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes expansionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Initial spending creates income and induced consumption, offset by saving, taxes, imports and capacity.

Counterargument and conditions. Saving, imports, taxes and inflation may dilute the increase in real domestic output.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.6: Contractionary

(a) [10] Using an AD/AS diagram, explain how lower government spending may reduce an inflationary gap.

(b) [15] Using real-world examples, evaluate whether spending cuts always lower inflation quickly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Lower G or higher tax shifts AD left to reduce an inflationary gap, potentially reducing output and employment.

Required reasoning. Lower G shifts AD left, but supply shocks and timing can limit inflation relief.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes contractionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower G shifts AD left, but supply shocks and timing can limit inflation relief.

Counterargument and conditions. Lower output may hurt employment and tax receipts while reducing price pressure.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.6: Contractionary

(a) [10] Using an AD/AS diagram, explain how higher income taxes can reduce aggregate demand.

(b) [15] Using real-world examples, discuss whether tax increases are an appropriate response to demand-pull inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Lower G or higher tax shifts AD left to reduce an inflationary gap, potentially reducing output and employment.

Required reasoning. Less disposable income may lower C; distribution, politics and supply effects matter.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes contractionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Less disposable income may lower C; distribution, politics and supply effects matter.

Counterargument and conditions. Lower output may hurt employment and tax receipts while reducing price pressure.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.6: Contractionary

(a) [10] Explain how a fiscal contraction can change output and the price level near full employment.

(b) [15] Using real-world examples, evaluate whether reducing a budget deficit necessarily causes a recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Lower G or higher tax shifts AD left to reduce an inflationary gap, potentially reducing output and employment.

Required reasoning. AD left lowers pressure on prices, with output effects dependent on gap and confidence.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes contractionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD left lowers pressure on prices, with output effects dependent on gap and confidence.

Counterargument and conditions. Lower output may hurt employment and tax receipts while reducing price pressure.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.6: Contractionary

(a) [10] Explain why a spending cut and an equally sized tax rise may have different effects on aggregate demand.

(b) [15] Using real-world examples, discuss whether the composition of fiscal tightening matters more than its size.

Part (a) - Indicative answer and marking guidance

Essential concepts. Lower G or higher tax shifts AD left to reduce an inflationary gap, potentially reducing output and employment.

Required reasoning. Direct G reduction differs from the portion of extra tax that would have financed consumption.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes contractionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Direct G reduction differs from the portion of extra tax that would have financed consumption.

Counterargument and conditions. Lower output may hurt employment and tax receipts while reducing price pressure.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.6: Contractionary

(a) [10] Explain why fiscal tightening may improve the budget balance only gradually.

(b) [15] Using real-world examples, evaluate whether austerity always reduces debt relative to GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Lower G or higher tax shifts AD left to reduce an inflationary gap, potentially reducing output and employment.

Required reasoning. Lower output can weaken tax receipts and the GDP denominator despite lower planned spending.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes contractionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower output can weaken tax receipts and the GDP denominator despite lower planned spending.

Counterargument and conditions. Lower output may hurt employment and tax receipts while reducing price pressure.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.6: Contractionary

(a) [10] Explain why fiscal policy aimed at reducing inflation can increase cyclical unemployment.

(b) [15] Using real-world examples, discuss whether disinflation costs are the same in every economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Lower G or higher tax shifts AD left to reduce an inflationary gap, potentially reducing output and employment.

Required reasoning. AD contraction reduces output and labour demand when spare capacity arises.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes contractionary from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD contraction reduces output and labour demand when spare capacity arises.

Counterargument and conditions. Lower output may hurt employment and tax receipts while reducing price pressure.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain how fiscal policy can be used to reduce inequality in disposable income.

(b) [15] Using real-world examples, evaluate whether progressive taxation alone achieves equity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. Taxes and transfers redistribute resources, but services, opportunity and compliance also matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Taxes and transfers redistribute resources, but services, opportunity and compliance also matter.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain how fiscal policy may promote long-term growth as well as current spending.

(b) [15] Using real-world examples, discuss whether public investment can crowd in private investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. Useful infrastructure and education expand capacity and may complement private capital.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Useful infrastructure and education expand capacity and may complement private capital.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain how a tax-and-spending change can affect the external balance through imports.

(b) [15] Using real-world examples, evaluate whether a fiscal contraction necessarily narrows a current-account deficit.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. Lower domestic income may reduce imports, but exchange rates and foreign demand also matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower domestic income may reduce imports, but exchange rates and foreign demand also matter.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain how fiscal measures may reduce business-cycle volatility.

(b) [15] Using real-world examples, discuss whether discretionary government intervention is always well timed.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. Countercyclical taxes and spending moderate AD, subject to recognition and legislative lags.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Countercyclical taxes and spending moderate AD, subject to recognition and legislative lags.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain why a government may face a conflict between unemployment reduction and low inflation.

(b) [15] Using real-world examples, evaluate whether supply conditions influence the costs of fiscal expansion.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. AD stimulus helps jobs but can raise prices near capacity; SRAS shifts alter the trade-off.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD stimulus helps jobs but can raise prices near capacity; SRAS shifts alter the trade-off.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain how fiscal support to poorer households can influence both equity and aggregate demand.

(b) [15] Using real-world examples, discuss whether redistribution necessarily slows growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. Transfers can increase spending where marginal propensity to consume is high, though financing and incentives matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Transfers can increase spending where marginal propensity to consume is high, though financing and incentives matter.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.6: Policy goals

(a) [10] Explain why a fiscal package may have different effects in a Keynesian and a monetarist/new classical model.

(b) [15] Using real-world examples, evaluate whether model assumptions affect the case for stimulus.

Part (a) - Indicative answer and marking guidance

Essential concepts. Fiscal choices target growth, unemployment, stable prices, equity, cycles and external balance, sometimes in tension.

Required reasoning. Keynesian slack permits output gains; classical adjustment and capacity constraints limit lasting output effects.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes policy goals from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Keynesian slack permits output gains; classical adjustment and capacity constraints limit lasting output effects.

Counterargument and conditions. A measure supporting employment or equity can conflict with inflation or debt goals.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why the legislative process can delay discretionary fiscal stimulus.

(b) [15] Using real-world examples, evaluate whether fiscal measures can arrive too late to stabilise a recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Recognition, approval and implementation lags may make a package procyclical.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Recognition, approval and implementation lags may make a package procyclical.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain how political pressure can influence the size or direction of fiscal policy.

(b) [15] Using real-world examples, discuss whether elected governments can always pursue optimal stabilisation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Electoral incentives or lobbying may favour untimely spending or resistance to taxes.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Electoral incentives or lobbying may favour untimely spending or resistance to taxes.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why high initial government debt may constrain fiscal expansion.

(b) [15] Using real-world examples, evaluate whether borrowing is always inappropriate when debt is high.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Servicing and market confidence matter, but borrowing costs and growth benefits also matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Servicing and market confidence matter, but borrowing costs and growth benefits also matter.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why fiscal policy can target a specific industry more easily than an economy-wide interest-rate change.

(b) [15] Using real-world examples, discuss whether targeted support is necessarily efficient.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Spending or tax relief can reach a sector directly, but picking recipients risks waste or favouritism.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spending or tax relief can reach a sector directly, but picking recipients risks waste or favouritism.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why the state of the economy affects how strongly public spending changes prices.

(b) [15] Using real-world examples, evaluate whether fiscal stimulus is more effective in a deep recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Spare capacity makes output response stronger; near capacity demand mainly raises prices.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spare capacity makes output response stronger; near capacity demand mainly raises prices.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain how import leakages can reduce the effect of fiscal stimulus on domestic output.

(b) [15] Using real-world examples, discuss whether open economies should avoid demand stimulus.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Some additional spending falls on imports, though domestic content and policy design vary.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Some additional spending falls on imports, though domestic content and policy design vary.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why temporary tax cuts may produce smaller spending responses than expected.

(b) [15] Using real-world examples, evaluate whether fiscal stimulus must be permanent to work.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Households may save a temporary windfall or repay debt, but liquidity constraints change behaviour.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Households may save a temporary windfall or repay debt, but liquidity constraints change behaviour.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain how expectations about future taxes can affect private responses to a deficit-funded stimulus.

(b) [15] Using real-world examples, discuss whether public borrowing always crowds out private demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Anticipated taxes can encourage saving, while unemployment and constraints may lead spending instead.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Anticipated taxes can encourage saving, while unemployment and constraints may lead spending instead.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why uncertainty about potential output makes it difficult to calibrate fiscal policy.

(b) [15] Using real-world examples, evaluate whether governments can identify the exact size of an output gap.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. Potential output is estimated, so stimulus may overshoot or undershoot.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Potential output is estimated, so stimulus may overshoot or undershoot.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 3.6: Effectiveness

(a) [10] Explain why the effectiveness of fiscal policy may depend on coordination with monetary policy.

(b) [15] Using real-world examples, discuss whether higher interest rates can offset fiscal expansion.

Part (a) - Indicative answer and marking guidance

Essential concepts. Time lags, politics, debt, targeting, leakages and private-sector responses determine net fiscal effects.

Required reasoning. If central bank tightens in response to inflation, higher rates may counter some AD stimulus.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes effectiveness from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. If central bank tightens in response to inflation, higher rates may counter some AD stimulus.

Counterargument and conditions. Recognition and implementation lags can make discretionary policy arrive after conditions change.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | HL | 25 marks

Topic 3.6: HL multiplier

(a) [10] Explain how a rise in autonomous government spending can cause a larger change in national income in the Keynesian model.

(b) [15] Using real-world examples, evaluate whether an estimated multiplier is stable across recessions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynesian multiplier k=1/(1-MPC) or k=1/(MPS+MPT+MPM), with delta income=k times initial injection.

Required reasoning. Successive rounds of spending create income and induced consumption, reduced by leakages.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl multiplier from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Successive rounds of spending create income and induced consumption, reduced by leakages.

Counterargument and conditions. Simple coefficients assume fixed propensities and spare capacity, so the realised multiplier can differ.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 3.6: HL multiplier

(a) [10] Given MPC=0.75 and an initial rise in government spending of 20 billion, calculate the simple multiplier and predicted GDP change, explaining successive spending rounds.

(b) [15] Using real-world examples, discuss whether the predicted increase must occur in an open economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynesian multiplier k=1/(1-MPC) or k=1/(MPS+MPT+MPM), with delta income=k times initial injection.

Required reasoning. k=1/(1-0.75)=4; predicted rise=80 billion, overstated if imports, taxes or capacity bind.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl multiplier from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. k=1/(1-0.75)=4; predicted rise=80 billion, overstated if imports, taxes or capacity bind.

Counterargument and conditions. Simple coefficients assume fixed propensities and spare capacity, so the realised multiplier can differ.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 3.6: HL multiplier

(a) [10] Given MPS=0.2, MPT=0.1 and MPM=0.1, calculate the open-economy multiplier and explain the leakages.

(b) [15] Using real-world examples, evaluate whether higher import propensity weakens a fiscal expansion.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynesian multiplier k=1/(1-MPC) or k=1/(MPS+MPT+MPM), with delta income=k times initial injection.

Required reasoning. k=1/(0.2+0.1+0.1)=2.5; imports leak spending from domestic income rounds.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl multiplier from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. k=1/(0.2+0.1+0.1)=2.5; imports leak spending from domestic income rounds.

Counterargument and conditions. Simple coefficients assume fixed propensities and spare capacity, so the realised multiplier can differ.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 3.6: HL multiplier

(a) [10] Given MPC=0.8 and a 10 billion rise in investment, calculate the simple predicted change in national income and explain why induced consumption magnifies the initial injection.

(b) [15] Using real-world examples, discuss whether investment shocks always have the same multiplier as public-spending shocks.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynesian multiplier k=1/(1-MPC) or k=1/(MPS+MPT+MPM), with delta income=k times initial injection.

Required reasoning. k=5 and predicted GDP change=50 billion in the simple model; other leakages and response patterns matter.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl multiplier from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. k=5 and predicted GDP change=50 billion in the simple model; other leakages and response patterns matter.

Counterargument and conditions. Simple coefficients assume fixed propensities and spare capacity, so the realised multiplier can differ.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 3.6: HL multiplier

(a) [10] Given MPS=0.25, MPT=0.15 and MPM=0.10, calculate the multiplier and the effect of a 12 billion export increase, explaining the role of each leakage.

(b) [15] Using real-world examples, evaluate whether higher exports always generate the predicted income gain.

Part (a) - Indicative answer and marking guidance

Essential concepts. Keynesian multiplier k=1/(1-MPC) or k=1/(MPS+MPT+MPM), with delta income=k times initial injection.

Required reasoning. k=2; predicted gain=24 billion if leakages stay fixed and spare capacity exists.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl multiplier from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. k=2; predicted gain=24 billion if leakages stay fixed and spare capacity exists.

Counterargument and conditions. Simple coefficients assume fixed propensities and spare capacity, so the realised multiplier can differ.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 3.6: HL crowding

(a) [10] Using a money-market diagram, explain how deficit-financed spending can crowd out private investment.

(b) [15] Using real-world examples, discuss whether crowding out is likely in a deep recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deficit borrowing may raise rates and displace private investment; severity varies with slack and monetary conditions.

Required reasoning. Government borrowing can raise interest rates and lower I if funds are scarce; weak private borrowing reduces this risk.

Expected diagram or calculation. Nominal interest rate vertically, money quantity horizontally, downward-sloping money demand and the vertical money-supply curve. Label initial equilibrium and the correct shifted demand/supply curve, new rate and quantity. State the implication for borrowing and AD where relevant.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl crowding from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Government borrowing can raise interest rates and lower I if funds are scarce; weak private borrowing reduces this risk.

Counterargument and conditions. Private investment may be weak and interest rates stable in recession, limiting crowding out.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 3.6: HL crowding

(a) [10] Explain why fiscal expansion can have a smaller net effect on AD when private spending is crowded out.

(b) [15] Using real-world examples, evaluate whether every budget deficit reduces private investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deficit borrowing may raise rates and displace private investment; severity varies with slack and monetary conditions.

Required reasoning. Higher G may be offset by lower I, depending on interest-rate response and monetary accommodation.

Expected diagram or calculation. For an explicitly requested diagram, label interest rate vertically and money quantity horizontally; show money supply and demand, their shift and the resulting rate. For crowding out, connect a rate rise to lower private investment.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl crowding from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher G may be offset by lower I, depending on interest-rate response and monetary accommodation.

Counterargument and conditions. Private investment may be weak and interest rates stable in recession, limiting crowding out.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 3.6: HL stabilizers

(a) [10] Explain how progressive income taxes act as automatic stabilisers in a recession.

(b) [15] Using real-world examples, evaluate whether automatic stabilisers remove the need for discretionary policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive income taxes and unemployment benefits vary automatically with activity, cushioning disposable income.

Required reasoning. Tax payments fall as incomes fall without new laws, cushioning disposable income but perhaps not enough.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl stabilizers from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tax payments fall as incomes fall without new laws, cushioning disposable income but perhaps not enough.

Counterargument and conditions. Automatic support avoids legislative delay but may not match the size or distribution of the shock.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 3.6: HL stabilizers

(a) [10] Explain how unemployment benefits stabilise household income when economic activity falls.

(b) [15] Using real-world examples, discuss whether automatic benefit spending fully prevents a decline in aggregate demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Progressive income taxes and unemployment benefits vary automatically with activity, cushioning disposable income.

Required reasoning. Benefits rise automatically with unemployment, supporting C subject to coverage and adequacy.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl stabilizers from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Benefits rise automatically with unemployment, supporting C subject to coverage and adequacy.

Counterargument and conditions. Automatic support avoids legislative delay but may not match the size or distribution of the shock.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 3.6: HL synthesis

(a) [10] Explain why a higher marginal propensity to import reduces the fiscal multiplier.

(b) [15] Using real-world examples, evaluate whether fiscal stimulus must be less effective in every highly open economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. A larger marginal propensity to import increases leakage and reduces the domestic income multiplier.

Required reasoning. Import spending leaks from each income round; domestic supply chains and foreign responses also matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl synthesis from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Import spending leaks from each income round; domestic supply chains and foreign responses also matter.

Counterargument and conditions. Imported input content and foreign response affect the size of the domestic leakage.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 3.6: HL crowding

(a) [10] Using an AD/AS diagram, explain why a rise in public spending may not raise total output by its full initial amount when interest rates rise.

(b) [15] Using real-world examples, evaluate whether central-bank accommodation can prevent crowding out.

Part (a) - Indicative answer and marking guidance

Essential concepts. Deficit borrowing may raise rates and displace private investment; severity varies with slack and monetary conditions.

Required reasoning. Higher borrowing costs can reduce private I and offset G, while monetary accommodation may restrain the interest-rate rise.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes hl crowding from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher borrowing costs can reduce private I and offset G, while monetary accommodation may restrain the interest-rate rise.

Counterargument and conditions. Private investment may be weak and interest rates stable in recession, limiting crowding out.

Application and real-world example. The Congressional Budget Office describes the US 2009 Recovery Act as a mix of spending, transfers and tax changes; use that composition and separate it from an assumed multiplier. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.6; current syllabus scope and level boundaries.

Open source

IMF. World Economic Outlook fiscal, growth and unemployment data for real-world applications.

Open source

CBO. 2009 US Recovery Act components.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 39 questions cover SL/HL content and 11 are labelled HL. The student paper contains no answers or difficulty labels.